

Literature Review

1. Sources Supplying the Empirical Data (Thesis §2.5; Defence Slide 4)

(a) Evidence that greenwashing is systemic, not episodic

- **ASCI, Annual Complaints Report 2024–25 (2025)**. Investigated 211 advertisements for false or exaggerated environmental claims — against only 34 the previous year, a six-fold rise driven by proactive monitoring — and found that **100% required modification** for want of substantiating evidence. Home care (98 ads), fashion & lifestyle (34) and personal care (19) were the worst categories; 45% of flagged ads went uncontested and 14% were escalated to the regulator for potential breach of the CCPA Greenwashing Guidelines. *Used in §2.5.1(B) as the headline consumer-facing proof, and again in §5.4.5 to show that self-regulation is already overflowing into statutory enforcement.*
- **Sensharma, Sinha & Sharma, “Do Indian Firms Engage in Greenwashing? Evidence from Indian Firms”, 16 Australasian Acct. Bus. & Fin. J. 67 (2022)**. The first peer-reviewed Indian estimate: 54% of 48 sampled firms greenwashing, concentrated in manufacturing and energy. *Establishes the base rate against which the later NIFTY 50 study is compared in §2.5.1(A).*
- **Gidage, Bhide & Bilan, “Greenwashing in the Indian Corporate Landscape: An Empirical Assessment of ESG Disclosures of NIFTY 50 Companies”, 27 Env’t Dev. & Sustainability 21861 (2025; online 2024)**. 47% of NIFTY 50 firms exhibit greenwashing traits; manufacturing and energy supply 62% of cases from 38% of the sample; board size and independent-director presence are statistically significant. *Doubly load-bearing: it confirms persistence over time (54%→47%) and links greenwashing to board composition — the empirical bridge to the governance argument of Chapters 3 and 5.*
- **CRISIL Research, ESG Compendium: India Inc’s ESG Scorecard (2022)**. Of 586 companies scored, only 20% reached “strong” or “leadership”; nearly 80% were “weak”, “below average” or “adequate”. *Supplies the disclosure-quality deficit at market scale in §2.5.1(A) — the supply side of the verification gap.*

(b) Evidence that the incentive to greenwash is financially real

- **“ESG Disclosures and Performances: Cross-Country Evidence”, RBI Bulletin (Feb. 2023)**. MSCI ESG indices across 18 economies; ESG leaders’ indices outperformed broad indices in most sample countries and India ranked among the top performers, with India’s ESG leaders exceeding market-model predicted returns by more than 4 percentage points. *The thesis’s proof of financial materiality in §2.5.1(A): if ESG leadership earns a measurable premium, a misleading claim extracts that premium unearned. Central-bank authorship makes it hard to dismiss.*
- **Climate Bonds Initiative & MUFG Bank, India Sustainable Debt State of the Market 2024 (2024)**. Cumulative aligned GSS+ debt of US\$55.9 billion by Dec. 2024, up 186% since 2021, green debt at 83% of issuance; India the fourth-largest emerging-market source after China, South Korea and Chile. *Converts greenwashing from a marketing problem into a systemic financial-integrity risk (§2.5.1(A)), and underpins the verification-gap argument in §4.9.3 and §5.4.*
- **IBEF, India’s ESG Landscape (2024), with Grand View Research (2024)**. ESG fund AUM grew from US\$331.4 million (Jan. 2020) to US\$1,176.6 million (Mar. 2024), projected at 23.3% CAGR to 2030. *Quantifies the thesis’s core claim that product growth has outpaced verification infrastructure — the premise on which SEBI’s BRSR Core assurance mandate is then assessed.*

2. The Conceptual and Jurisprudential Spine (Chapters 2 and 3)

Chapter 2 — Defining, classifying and explaining greenwashing

- **Lyon & Montgomery, “The Means and End of Greenwash”, 28 Org. & Env’t 223 (2015); Montgomery, Lyon & Barg, “No End in Sight? A Greenwash Review and Research Agenda”, 37 Org. & Env’t 502 (2024)**. The most heavily relied-upon scholarship in Chapter 2. The 2015 review supplies the deliberately broad working definition (communication producing overly positive perceptions of environmental performance) and the sub-forms the thesis adopts — selective disclosure, empty claims, dubious labels, NGO partnerships, ineffective voluntary programmes, narrative and visual framing. The 2024 review supplies the developmental model (Greenwashing 1.0 consumer-facing → 2.0 stakeholder and lobbying → 3.0 narratives about the future). *“Greenwashing 3.0”/futurewashing is carried forward into §2.5.1(A) on India’s 2070 net-zero horizon and into Research Gap 4 in §4.9.4 — the thesis’s most original comparative claim.*
- **Agostino Vollero, Greenwashing: Foundations and Emerging Research on Corporate Sustainability and Deceptive Communication (2022)**. Systematic map of competing definitions and six theoretical approaches. *Foundation for the working definition and conceptual nuances in §2.1.2.*
- **Gatti, Conti & Seele, A Comprehensive Guide to Greenwashing Phenomena, Contexts, and Trends (2025)**. Contemporary taxonomy of greenwashing forms. *Structures the three-level product / corporate / ESG typology in §2.3 — the classification the whole regulatory analysis is then mapped onto.*
- **TerraChoice, The Seven Sins of Greenwashing (2007–2010)**. The durable product-level taxonomy (hidden trade-off, no proof, vagueness, irrelevance, lesser of two evils, fibbing, worshipping false labels). *The benchmark against which §2.3.1 and the CCPA Guidelines’ substantiation requirements in §2.6.2 are tested.*
- **Delmas & Burbano, “The Drivers of Greenwashing”, 54 Cal. Mgmt. Rev. 64 (2011)**. The canonical driver framework (external market and regulatory pressure, organisational structure, individual incentives). *Explains why firms greenwash in §2.2, and supplies the causal premise for the thesis’s shift from claim-regulation to governance-regulation.*
- **Frances Bowen, After Greenwashing: Symbolic Corporate Environmentalism and Society (2014)**. Theory of symbolic corporate environmentalism. *Underpins the decoupling analysis of talk–action gaps in §2.2.3.*

Chapter 3 — Corporate responsibility and accountability (jurisprudential foundations)

- **Wesley N. Hohfeld, “Some Fundamental Legal Conceptions as Applied in Judicial Reasoning”, 23 Yale L.J. 16 (1913)**, read with **Halpin (2007)**, **M.H. Kramer (2024)** and **R. Tallarita, Hohfeld in the Boardroom (2025)**. The analytical spine of §3.3 and, on verification, the single most-invoked authority in the thesis outside the statutes (roughly 30 references in Chapter 3 alone). Decomposing corporate duty into claim-right, privilege, power and immunity is what allows the thesis to locate the failure precisely: §166(2) creates a duty without a correlative claim-right in any stakeholder, so the duty exists without an enforcer. *This is the thesis’s original doctrinal contribution — expect the sharpest questioning here.*

- **R. Edward Freeman, Strategic Management: A Stakeholder Approach (1984); Freeman et al., Stakeholder Theory: The State of the Art (2010).** Doctrinal foundation for reading §166(2) as a stakeholder-inclusive duty owed at board level rather than a shareholder-only mandate. *§3.1.4 and §3.6.2; the theoretical justification for the thesis's proposed board-level accountability reform.*

3. Comparative and International Benchmarks (Chapter 4)

- **ISO 14021, Self-Declared Environmental Claims (with Lee & Uehara, APEC 2003).** The international technical baseline: prohibits vague terms such as “eco-friendly”, “green” and “nature’s friend” and requires substantiation. *§4.1.1 — and the source of the thesis's “verification gap”: ISO 14021 claims are self-verified, so accuracy rests with the claimant alone. That gap is the analytical thread running to §4.9.3 and §5.4.*
- **U.N. High-Level Expert Group, Integrity Matters: Net Zero Commitments by Businesses, Financial Institutions, Cities and Regions (Nov. 2022).** Sets the credibility benchmark for net-zero pledges by non-state entities. *§4.1.2 — anchors the analysis of promissory greenwashing / futurewashing and the critique of unverified Indian net-zero commitments in §2.5.1(A).*
- **IOSCO, Final Report on Supervisory Practices to Address Greenwashing, FR15/2023 (Dec. 2023).** Survey of 22 jurisdictions; maps the global supervisory toolbox, records that there is no agreed definition of greenwashing, and identifies “greenhushing”. *Frames the comparative method in §4.1.3–4.1.4 and supplies the greenhushing risk discussed in §4.10.5 — the thesis's answer to the objection that stricter rules simply silence disclosure.*
- **OECD, Regulatory Policy Outlook 2025; OECD, Regulatory Enforcement and Inspections Toolkit (2018).** The normative yardsticks — deterrence, proportionality, risk-based supervision, inter-agency coordination. *Supply enforcement-design variables 6 and 7 in §4.1.4, ground the critique of the CPA's reactive, complaint-driven architecture in §2.6.3, and support the coordination recommendation in §5.4.2.*
- **UK FCA, Anti-Greenwashing Rule (ESG 4.3.1R, in force 31 May 2024) with Finalised Guidance FG24/3 and CP23/16 (SDR).** A binding requirement that sustainability-related claims be “fair, clear and not misleading”, applicable to all authorised firms, not only sustainability-labelled ones. *§4.4.1 — the template for securities-regulator action on green claims, and the closest comparator for what SEBI could adopt.*
- **UK CMA, Green Claims Code (2021), read with the Digital Markets, Competition and Consumers Act 2024, §234.** Six principles: truthful and accurate; clear and unambiguous; no omission of material information; fair and meaningful comparisons; full life cycle; substantiated. The DMCCA then gave the CMA direct power to impose penalties of up to 10% of global turnover without a court order. *§4.4.2–4.4.3 — the consumer-law benchmark for lifecycle substantiation, and the penalty comparator against India's §166(7) cap of Rs. 1–5 lakh.*
- **ASIC, ASIC's Interventions on Greenwashing Misconduct 2023–2024, REP 791 (Aug. 2024).** 47 regulatory interventions in the 15 months to 30 June 2024: 37 corrective disclosure outcomes, 8 infringement notices totalling over AUD 123,000, 2 Federal Court proceedings and the concluded AUD 11.3 million penalty against Mercer Superannuation. *§4.6.1 — the visible-enforcement contrast against which India's empty enforcement record is tested in §5.4.5.*
- **DGCCR (France), enforcement returns on misleading environmental claims (Bilan d'Activité 2023).** 141 warnings and 114 injunctions arising from its national environmental-claims investigation campaign. *§4.2.4 — evidences EU member-state enforcement intensity and the implementation variance that motivates the Green Claims Directive.*
- **EFRAG, State of Play Q2 2024 (ESRS implementation); CEAOB, Guidelines on Limited Assurance (30 Sept. 2024).** Track the CSRD assurance trajectory — limited assurance from the first reporting wave, moving toward reasonable assurance by 2028. *§4.10.1 — the evidentiary basis for the thesis's assurance-gap argument and its critique of BRSR Core's limited-assurance standard in §3.5.3.*
- **Landmark enforcement and judicial record: ASIC v. Mercer (2024); ASIC v. Vanguard; Fossielvrij v. KLM (2024); Milieudefensie v. Shell (2021); Volkswagen; JBS (2024).** *§4.8 — supply the judicial reasoning (notably KLM's “overly rosy picture” standard and the net-zero-plan challenges) that the thesis uses to argue courts, not only regulators, can police green claims.*

4. The Indian Regulatory Record (Chapter 5, with §2.6 and §3.6)

- **SEBI, BRSR and BRSR Core circulars (May 2021; July 2023) with SEBI, Annual Report 2024–25.** BRSR is the disclosure regime under examination throughout Chapters 3 and 5. The Annual Report supplies the penalty-arbitrage data: Rs. 28.2 crore in aggregate penalties across 239 entities in FY 2024–25, averaging roughly Rs. 12 lakh per entity. *§3.5.2–3.5.3 and §5.4.3 — when the expected sanction is smaller than the commercial gain, misrepresentation is rationally priced in.*
- **Parliamentary Standing Committee on Finance, Tenth Report on MCA Demands for Grants (2025–26), with MCA's Official Response.** The Committee recommended amending the Companies Act to embed ESG in fiduciary duties, with turnover-based penalties and director disqualification; MCA replied that existing provisions suffice and the Committee called that response “fundamentally defensive”. *§5.2.3 — formal governmental recognition of the problem plus documented institutional resistance; the strongest single piece of evidence for the thesis's enforcement-deficit claim.*
- **Ministry of Finance, Climate Finance Taxonomy Draft Framework (May 2025).** *Basis of the “Green Taxonomy Paradox” case study in §5.4.2 — a fifth parallel framework, unintegrated with SEBI, CCPA, ASCI and MCA, that deepens rather than cures fragmentation.*
- **Dept. of Consumer Affairs, Annual Report 2024–25.** *§5.4.5 — official activity data showing CCPA still depends mainly on the National Consumer Helpline, with no dedicated surveillance programme for environmental claims and no publicly reported action under the 2024 Greenwashing Guidelines since they came into force.*
- **ICSI, Green to Greed: Unravelling Corporate Deception (2024), with the NGT's 2024 suo motu action on fake EPR certificates.** Catalogues Indian deception episodes (HUL Surf Excel, Voltas, Godrej) and records the CPCB's discovery of roughly six lakh fake Extended Producer Responsibility certificates issued by four plastic-recycling firms. *§2.5.1(B) and §5.2 — shows the verification deficit reaching past marketing into the compliance infrastructure itself.*